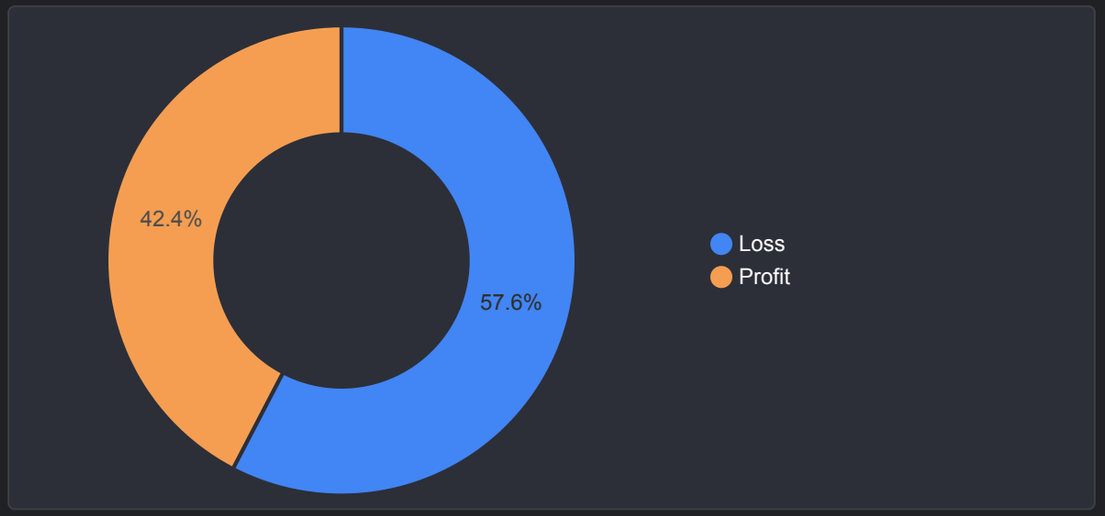
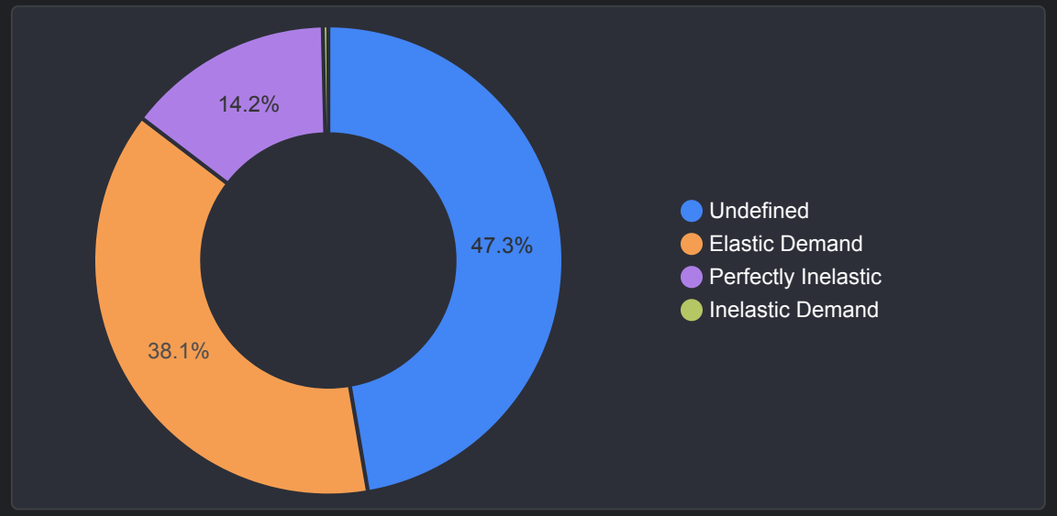
Sales	Cost Of Sales	Unit_Price	Gross_Profit
186,909,828.26	194,026,109.45	37.07	-7,116,281.2

Year | Profit_Status | Demand_Elastic… | Promotion_Flag | Day_Name | Month_Name

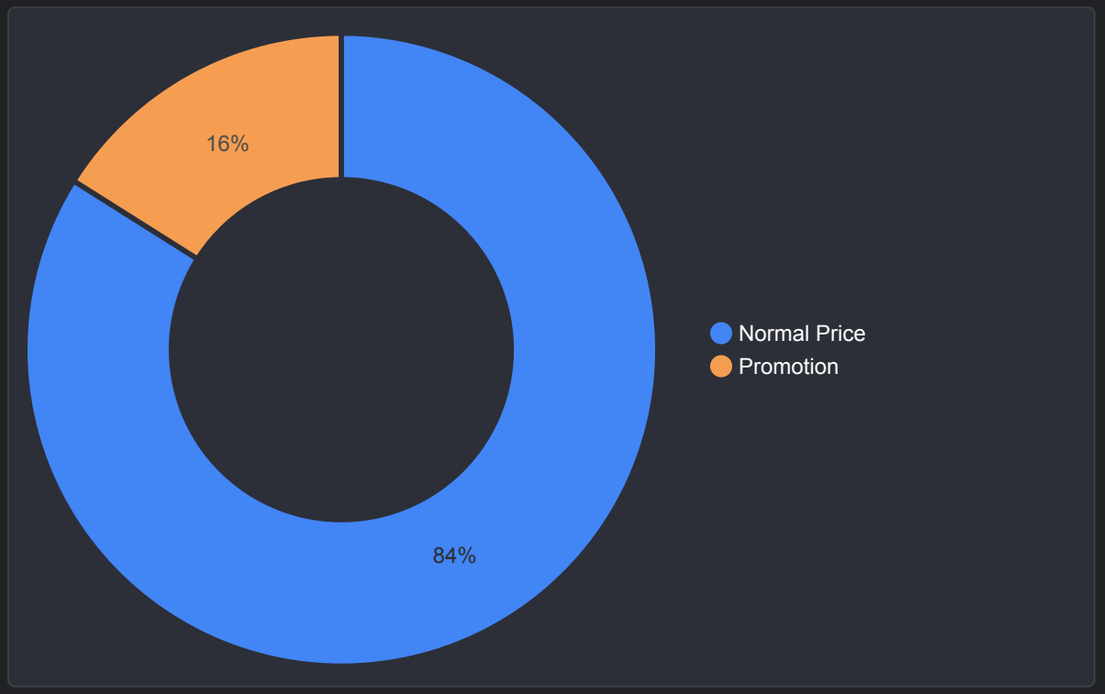
Profit Status



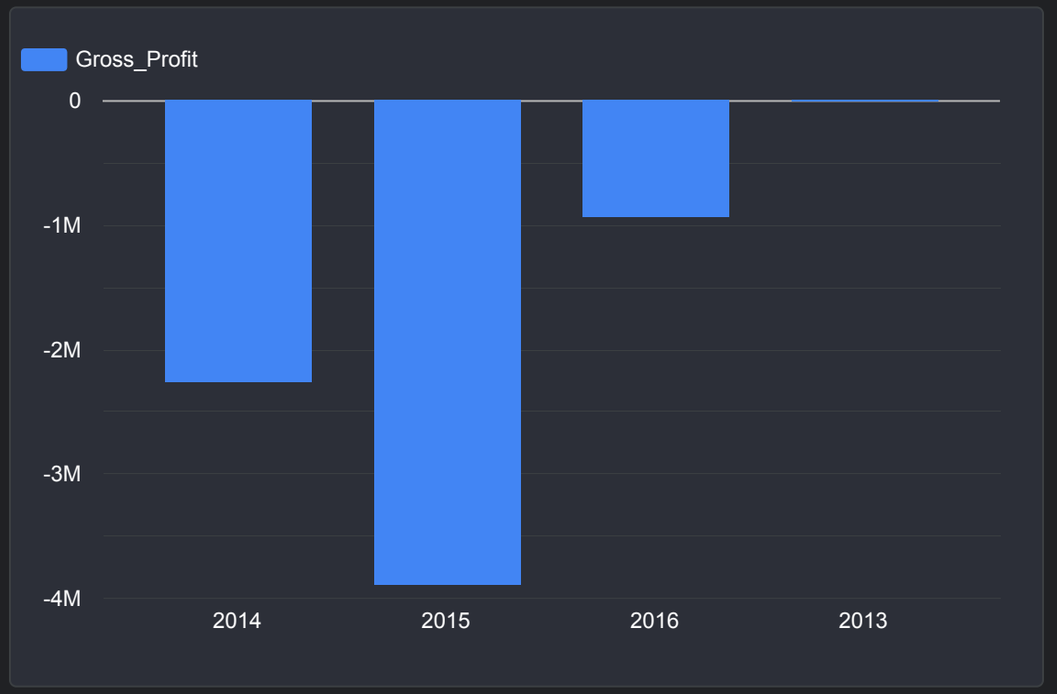
Demand Elasticity



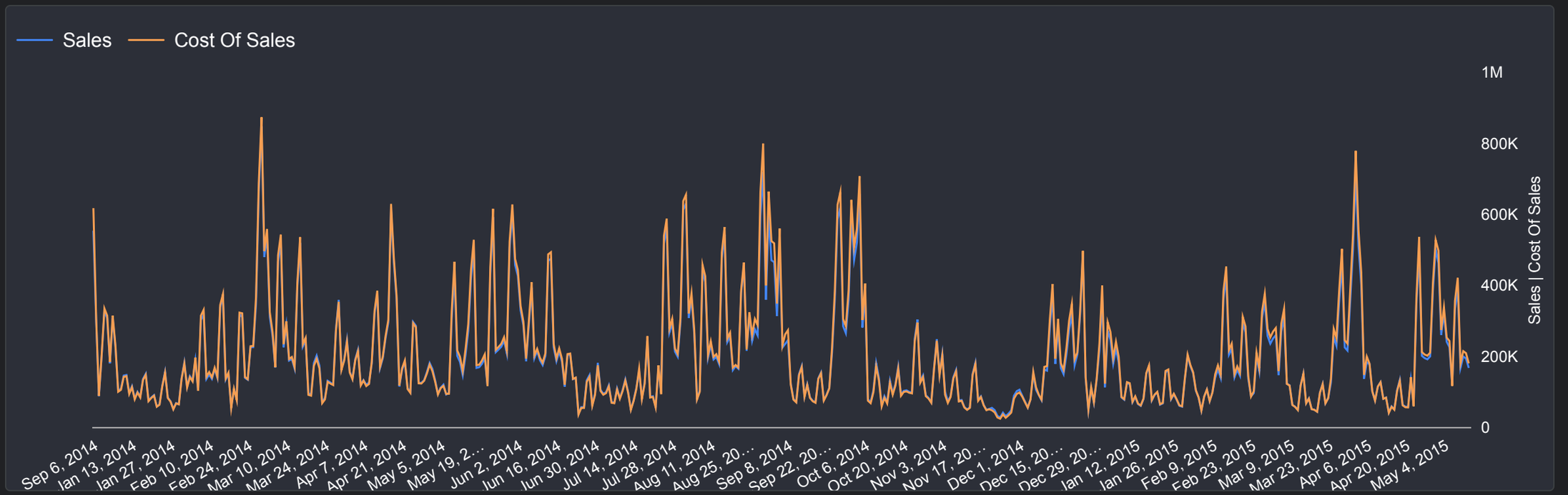
Promotional Days



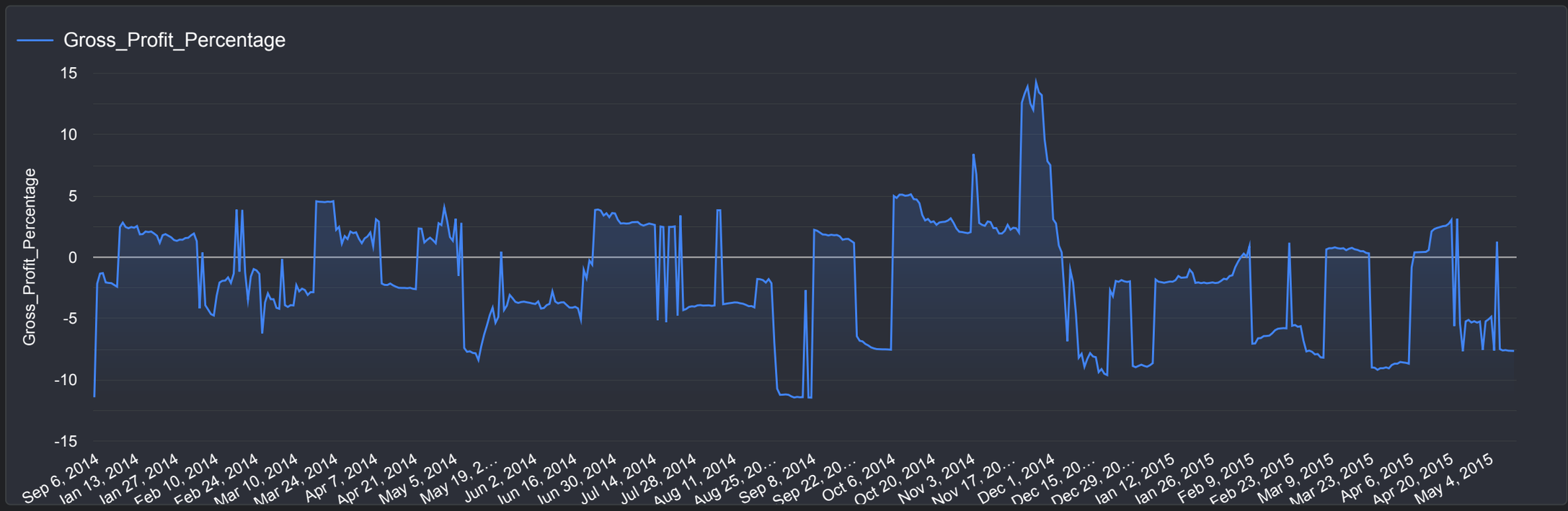
Yearly Gross Profit



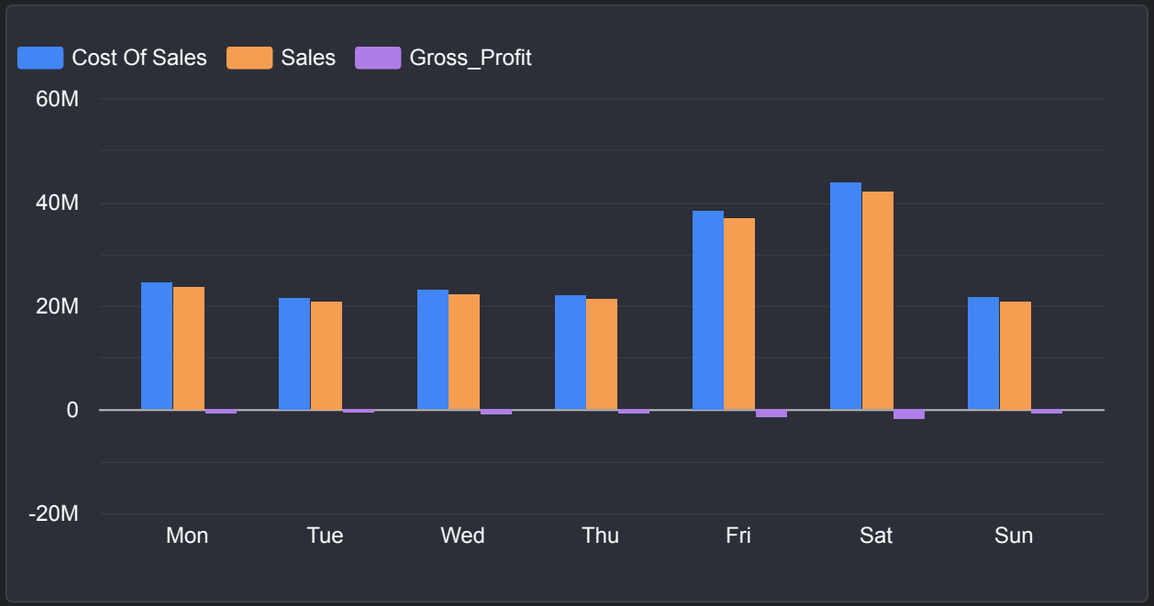
Daily Sales vs Cost of Sales



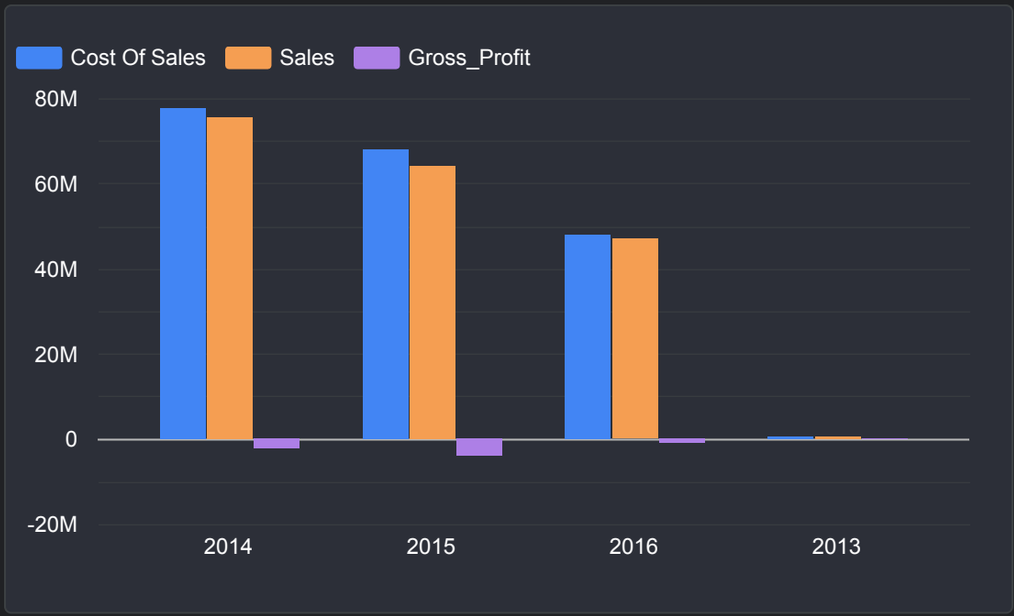
Daily Gross Profits



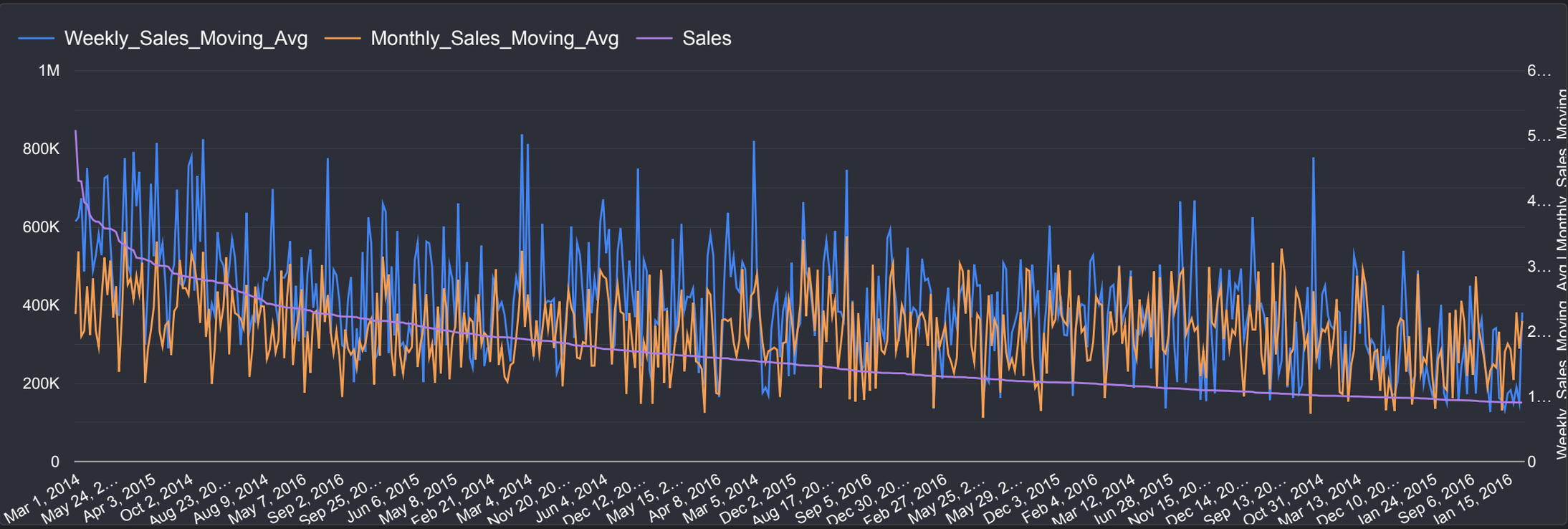
Day Name Gross Profit



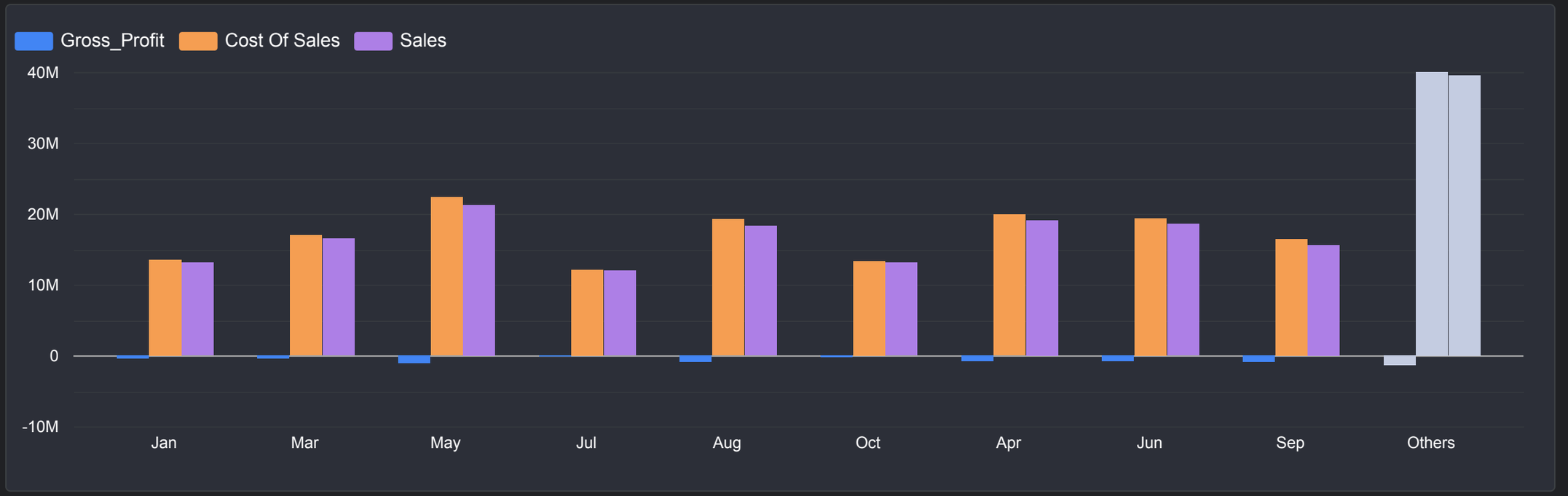
Yearly Gross Profit



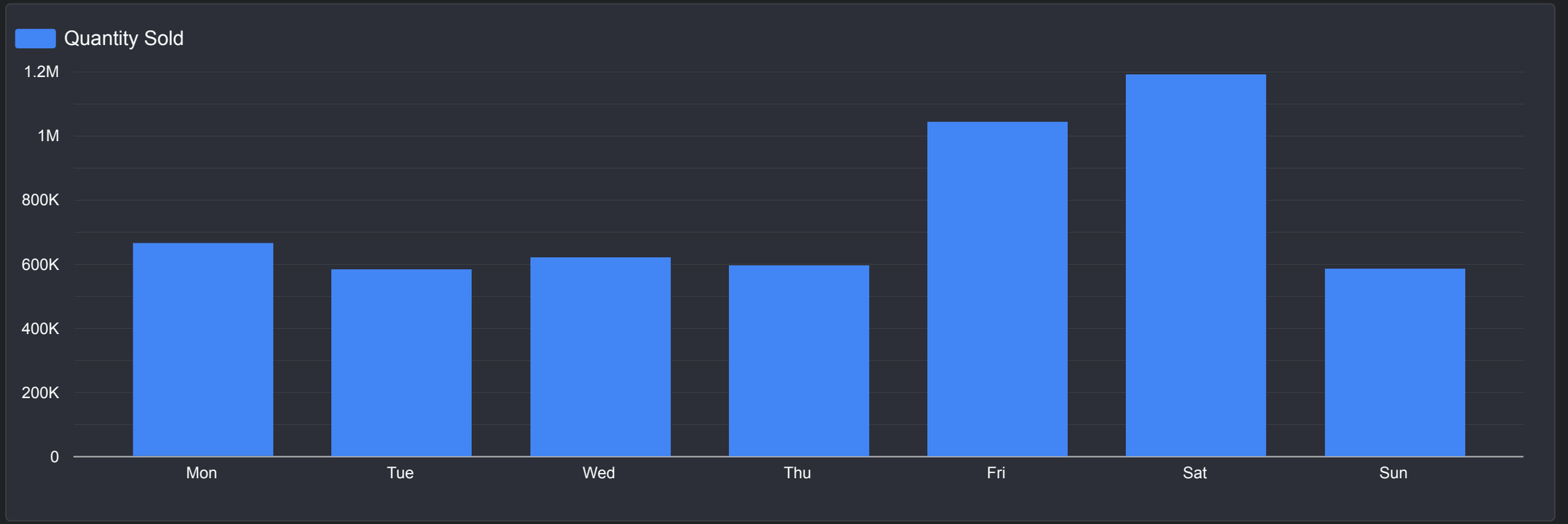
Moving Averages Sales



Monthly sales and Cost of Sales



Daily Quantity Sold



Executive Summary

Over 1 053 trading days this product generated R186.91m in sales, R194.03m in cost of sales and R-7.12m in gross profit, a -3.8% gross margin with a median daily margin of -2.2%. Overall sales performance has softened, with promotional campaigns providing the main support to volume. Price elasticity analysis across 22 detected promotional periods — 21 of them highly elastic — indicates customers are responsive to price reductions, resulting in increased sales volumes. While promotional periods reduce unit margins, total profitability remains under pressure due to higher transaction volumes. Future pricing strategies should balance revenue growth with margin preservation by targeting optimal discount levels, enforcing a contribution floor on deep discounts, and leveraging predictive forecasting for inventory and campaign planning.

Insights

Sales declined across the observed period (-24.4% second-half vs first-half), averaging R177.5k per trading day over 1 053 days. Aug 14 was the strongest month at R10.01m. Several revenue spikes coincide with reduced unit pricing, confirming promotional activity as a primary volume driver.

The average selling price is R37 per unit against an average unit cost of R37. Unit prices increased over time. Lower selling prices consistently coincided with higher demand — promotional days sold 137.4% more units per day than normal-price days, indicating a price-sensitive customer base.

Daily sales show a coefficient of variation of 71.9% (σ = R127.5k). Demand volatility clusters around promotional campaigns, where single-day volumes can reach several multiples of the baseline — a planning risk for inventory and staffing. 22 promotional periods were detected, of which 21 were highly elastic ($|E| > 1$).

Demand is predominantly elastic, indicating that pricing strategy has a significant influence on customer purchasing behaviour and that discount depth is a controllable volume lever.

5 279 872 units were sold in total, averaging 5 014 units per day. Volume declined through the period. Sales volume increased considerably during promotional windows, averaging 6 925 units per promotional day versus 2 917 on normal-price days.

Total gross profit of R-7.12m represents a -3.8% gross margin. Average gross profit per unit is R-0. Despite lower unit prices during promotions, aggregate gross profit was partially offset by higher sales volumes, with promotional days contributing 69.3% of total revenue.